

Tesla Inc.

Annual Report (Form 10-K)

Filed with the Securities and Exchange Commission

TESLA, INC.

FORM 10-K -- ANNUAL REPORT

Fiscal Year Ended December 31, 2023

ITEM 6. SELECTED FINANCIAL DATA

(In millions, except per share amounts)

	2023	2022	2021	2020	2019
Total revenues	\$ 96,773	\$ 81,462	\$ 53,823	\$ 31,536	\$ 24,578
Cost of revenues	79,113	60,609	40,217	24,906	20,509
Gross profit	17,660	20,853	13,606	6,630	4,069
Operating income	8,891	13,656	6,523	1,994	(69)
Net income attributable to common stockholders	7,928	12,556	5,519	721	(862)
Diluted earnings per share	\$2.49	\$3.62	\$1.63	\$0.21	(\$0.33)
Total assets	\$106,618	\$ 82,338	\$ 62,131	\$ 52,148	\$ 34,309
Total long-term debt and finance leases, net of current portion	\$ 2,857	\$ 1,597	\$ 5,245	\$ 9,607	\$ 11,634

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS

OVERVIEW

We design, develop, manufacture, sell and lease high-performance fully electric vehicles and energy generation and storage systems, and offer services related to our products. We are the world's most valuable automotive company by market capitalization.

Revenue for the year ended December 31, 2023 increased by \$15.31 billion, or 19%, compared to the prior year. The increase was primarily due to growth in vehicle deliveries, partially offset by a decrease in average selling price.

REVENUE

Automotive revenue increased by \$11.57 billion or 15% year-over-year. This was primarily driven by an increase of 38% in vehicle deliveries (1,808,581 vehicles in 2023 vs 1,313,851 in 2022). Average selling price per vehicle decreased approximately 17% year-over-year due to price reductions across our vehicle lineup to stimulate demand.

Energy generation and storage revenue increased by \$4.03 billion or 54%, driven by deployments of Megapack and Powerwall products to utility and commercial customers.

Services and other revenue increased by \$1.60 billion or 27% year-over-year, driven by growth in our Supercharger network, body shop and parts, used vehicle sales, and insurance services.

COST OF REVENUES AND GROSS MARGIN

Total cost of revenues increased by \$18.50 billion, or 31%, primarily due to higher raw material costs and manufacturing costs associated with increased production volume. Total gross margin was 18.2% compared to 25.6% in the prior year. The decline was driven by price reductions, higher raw material costs, and increased costs associated with new factory ramp-ups.

Automotive gross margin decreased from 28.5% to 18.2%, primarily driven by vehicle price reductions globally. We believe these price adjustments are necessary to maintain demand growth and market share.

OPERATING EXPENSES

Research and development expenses increased \$0.93 billion or 26% to \$4.46 billion, driven by investments in AI training compute for Full Self-Driving, Cybertruck development, and next-generation vehicle platform development.

Selling, general and administrative expenses increased \$0.60 billion or 13% to \$5.22 billion, driven by growth in our global operations and workforce.

LIQUIDITY AND CAPITAL RESOURCES

As of December 31, 2023, we had \$29.1 billion in cash and cash equivalents and investments. Operating cash flow was \$13.3 billion.